BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

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In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 19-G-0309 & 19-G-0310

AUGUST 2019

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Prepared Testimony of:

STAFF ACCOUNTING PANEL

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Auditor 2 (Public Utilities)

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PUBLIC SERVICE
State of New York
Department of Public Service
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Q. Members of the Staff Accounting Panel please state your name and business address?

A. Our names are Ronald F. Calkins, Luke Quackenbush, and Hina Mansoor Thalho. Our business address is Three Empire State Plaza, Albany, New York, 12223.

Q. Mr. Calkins, by whom are you employed and in what capacity?

A. I am employed by the Department of Public Service as a Supervisor in the Office of Accounting, Audits and Finance.

Q. Mr. Calkins, please summarize your education and work experience.

A. I graduated from Siena College with a B.B.A in Accounting. In June 1969, I joined the Department of Public Service.

Q. Mr. Calkins, have you previously testified before the Commission?

A. Yes. I have testified in various electric, gas and telephone rate proceedings.

Q. Mr. Quackenbush, by whom are you employed and in what capacity?

A. I am employed by the Department of Public Service as an Auditor 2 (Public Utilities) in

the Office of Accounting, Audits and Finance.

Q. Mr. Quackenbush, please summarize your education and work experience?

A. I graduated from the State University of New York College at Cortland with a B.A. in Sport Management, with minors in Business and Economics in 2006. Thereafter, I graduated from The College of Saint Rose in Albany, New York, with a M.S. in Accounting in 2010. I worked for two and one-half years as a Staff Accountant at the public accounting firm Brown & Fitzgerald, P.C. in Latham, New York. During that time, I assisted in performing audits, reviews, and compilations, as well as tax review and preparation. In December 2012, I joined the Office of Accounting, Audits and Finance within the Department as a Senior Auditor.

Q. Mr. Quackenbush, please describe your responsibilities with the Department.

A. My responsibilities include the examination of accounts, records, documentation, policies and procedures of regulated utilities.

Q. Mr. Quackenbush, have you previously provided testimony before the Commission?

A. Yes. I have provided testimony Case 18-G-0133, St. Lawrence Gas Company, Inc., Cases 16-G-0058 and 16-G-0059, KeySpan Gas East Corporation d/b/a National Grid (KEDLI) and The Brooklyn Union Gas Company d/b/a National Grid NY (KEDNY); and Case 15-G-0382, St. Lawrence Gas Company, Inc.

Q. Ms. Thalho, by whom are you employed and in what capacity?

A. I am employed by the New York State Department of Public Service as an Auditor I in the Office of Accounting, Audits and Finance.

Q. Ms. Thalho, please state your educational background and professional experience?

A. In 2012, I graduated from Hudson Valley Community College with an Associate of Science degree in Business Administration. I continued my education at University at Albany, where I earned a Bachelor of Science degree in Accounting in 2014, and a Master of Science degree in Forensic Accounting in 2016. In September of 2016, I joined the Department of Public Service as an Auditor Trainee II.

Q. Ms. Thalho, please briefly describe your

responsibilities with the Department.

A. I have general responsibility for accounting and ratemaking matters related to the companies regulated by the New York State Public Service Commission (Commission). My direct responsibilities include examination of accounts, records, documentation, policies, and procedures of utilities regulated by the Commission.

Q. Ms. Thalho, have you previously testified before the Commission?

A. Yes, I provided testimony in Case 17-W-0528, regarding SUEZ Water Owego-Nicholas Inc.

Q. Panel, what is the purpose of your testimony?

A. We will address various issues of the rate filing by The Brooklyn Union Gas Company d/b/a National Grid NY (KEDNY), and KeySpan Gas East Corporation d/b/a National Grid (KEDLI), collectively the Companies, specifically: Uncollectible Expenses, Other Expense, Trade Association Dues/Fees, Other Taxes, Property Tax Expense, Deferrals, and State and Federal Income Tax Expenses.

Q. Is the Panel sponsoring any Exhibits?

A. Yes, we are sponsoring two Exhibits; Exhibit__(SAP-1) and Exhibit__(SAP-2).

Q. Would you describe Exhibit__(SAP-1)?

A. Exhibit__(SAP_1) includes the Information Request (IR) responses that we rely upon throughout our testimony. We will refer to these IRs by the number assigned by Staff, e.g., DPS-001.

Q. Would you describe Exhibit__(SAP-2)?

A. Exhibit__(SAP-2) is a compilation of workpapers the Panel has created and used in calculating the adjustments we will discuss in this testimony.

Q. Please define the Historic Test Year, Rate Year, and Data Years.

A. The Historic Test Year is the twelve-month period ending December 31, 2018. The Rate Year is the twelve-month period ending March 31, 2021. The Data Years are subsequent twelve-month periods ending March 31, 2022, March 31, 2023, and March 31, 2024.

**Uncollectible Expenses**

Q. Does the Panel have adjustments to KEDNY's and KEDLI's Rate Year forecast of uncollectible expenses?

A. Yes.

Q. Please explain.

A. We recommend decreasing KEDNY's Rate Year uncollectible expenses forecast by $0.621 million and KEDLI's Rate Year uncollectible expenses forecast by $0.319 million.

Q. How did the Companies develop their Rate Year uncollectible expenses?

A. The Companies began by deriving a ratio of uncollectible amount to total regulated revenues. The Companies calculated this ratio based on a three-year average, using calendar years 2016, 2017, and 2018. The Companies then applied this average uncollectible ratio to their forecasted Rate Year revenues to develop their Rate Year uncollectible expenses. As of their corrections and updates filing, the Companies proposed uncollectible expenses of $7.397 million for KEDLI and $17.040 million for KEDNY.

Q. Does you agree with the Companies methodology to forecast their Rate Year uncollectible expenses?

A. We agree with the use of a three-year average, but do not agree with the data used by the Companies to calculate a three-year average of uncollectible expenses.

Q. What data do you recommend using?

A. We recommend using the uncollectible amount and total regulated revenues from the period from June 2015 to May 2019, to calculate the three-year average uncollectible ratio. We used the information provided in the Exhibit___(SSP-3), Schedule 1; Exhibit___(SSP-4), Schedule 1; the response to IR DPS-462, Attachment 1 to DPS-462; and the response to IR DPS-463, Attachment 1 to DPS-463.

Q. Why do you believe that this method is more accurate?

A. The Companies recently implemented steps to reduce the uncollectible expense and the Companies will take further steps to reduce the uncollectible expenses. The latest known uncollectible amount reflects the most recent known impact from the implementation of these

steps, and provides for a more accurate uncollectible rate to apply to revenues for the Rate Year.

Q. What steps have the Companies taken to reduce the uncollectible expenses?

A. In the testimony of Shared Services Panel at pages 29-30, the Companies explain they have increased the use of targeted outbound calling campaigns that they expect to improve the effectiveness in encouraging customers to act regarding arrears, and have also implemented ongoing email campaigns for residential customers with an arrears balance of at least $50 pending for sixty days or more. With respect to the ongoing email campaign, the Companies state: “KEDLI started the campaign in July 2016, with a total 69,322 emails sent to customers from July 2016 to December 2018. KEDNY began the campaign in February 2017 with a total of 604,046 emails sent to customers through December 2018.” Additionally, in the response to IR DPS-888, the Companies stated, “The Companies have taken additional steps to reduce uncollectible expense. In April of 2017,

a Residential Outbound Calling group was formed."

Q. Do you anticipate that the Companies will take additional steps to reduce the uncollectible expense?

A. Yes. In the response to IR DPS-888, the Companies indicate they have additional plans to attempt to reduce uncollectible expense in the Rate Year. Specifically, they will employ the utilization of a practical process improvement method that will examine critical procedures that affect uncollectible expense, and also look to the critical area of protection and compliance where the Companies will endeavor to mitigate uncollectible expense.

**Other Expense**

Q. Please explain what the cost element Other Expense represent.

A. In the Other Expense operation and maintenance (O&M) cost element, the Companies include the subset of O&M costs incurred by the Companies' for utility purposes that are not otherwise identified in any other specific O&M expense

type that is listed on the Companies' Exhibit__(RRP-3CU) Summary.

Q. How did the Companies' develop its Rate Year forecast of Other Expense?

A. KEDNY, as shown in Exhibit___(RRP-3CU), Schedule 7, began with the Historic Test Year amount for Other Expense of $33.078 million, then made normalizing adjustments reducing Other Expense by $12.142 million for its Historic Test Year review, removing Gas Enablement Project costs, Capitalization Policy Changes, reclassification of Incentive Programs, reclassification of Economic Development Grants, a reclassification adjustment to reflect a reversal of City/State construction accrual from a prior period, and removal of accrual amounts for the Appreciate program. Lastly, KEDNY applied inflation of $0.828 million to arrive at a total Rate Year forecast of $21.674 million. KEDLI, as shown in Exhibit___(RRP-3CU), Schedule 7, began with the Historic Test Year Other Expense amount of $4.694 million, then made normalizing adjustments reducing Other Expense by $2.949 million for additional review of Historic Test

Year costs, removing Gas Enablement Project costs, Capitalization Policy Changes, reclassification of Incentive Programs, reclassification of Economic Development Grants, normalization of EAM associated with Empower Replacement Program, removing an entry related to LIPA cash in prior periods, and to remove accrual entries for the Appreciate program. Lastly, KEDLI applied inflation of $0.069 million to arrive at a total Rate Year forecast of $1.814 million.

Q. Do you have any adjustments to the O&M cost element of Other Expense?

A. Yes. We have one adjustment to KEDNY's Other Expense cost element and one adjustment to KEDLI's Other Expense cost element.

Q. For KEDNY, please explain your adjustment related to Other Expense.

A. We recommend reducing the level of charges incurred in the Historic Test Year, for costs associated with the vendor New York City Finance Commissioner.

Q. What types of charges are incurred by KEDNY for the vendor New York City Finance Commissioner.

A. According to the response to IR DPS-550, these charges represent summonses associated with the Notice of Violations (NOVs) of permit conditions by the New York City Department of Transportation (DOT).

Q. How much did KEDNY charge to Other Expense for the New York City DOT NOVs in the Historic Test Year?

A. Based on KEDNY's responses to IRs DPS-550 and DPS-768, KEDNY charged $3.541 million to Other Expense in the Historic Test Year for the NOVs.

Q. What causes KEDNY to incur such violations?

A. According to the response to IR DPS-550, to construct, operate, and maintain its natural gas distribution system, KEDNY must regularly excavate in streets and sidewalks in the City of New York. For all nonemergency work, KEDNY secures a street opening permit in advance from the DOT. KEDNY electronically submits a permit application, that is reviewed by the DOT, and a permit is issued. The permit indicates, among other items, the area to be excavated and any work restrictions. From time to time, KEDNY receives NOVs in connection with these street

openings. These violations include failure to follow permit conditions such as work hour restrictions, working outside of the permit area, and failure to restore the area to the DOT's standards. Many of these violations are the result of unanticipated field conditions (e.g., subsurface facilities, parking conditions, heavy traffic) that necessitate work beyond the scope of the permit.

Q. Has KEDNY been allowed rate recovery of such violations in the past?

A. Yes, In the 2016 Rate Order, issued on December 16, 2016 in Cases 16-G-0058 and 16-G-0059, KEDNY was allowed partial recovery of its requested Opex and Capex of historic NOVs. However, the 2016 Rate Order adopted a Joint Proposal, and thus, that KEDNY was allowed partial recovery should not suggest that it should again be allowed any recovery. Furthermore, pursuant to the Joint Proposal adopted by the Commission in the 2016 Rate Order, KEDNY is to provide annual reports describing its efforts to reduce NOV related to street openings and traffic violations.

Q. Has KEDNY provided examples of its efforts to reduce the amount of traffic violations and violations related to street opening permits?

A. Yes. However, since these efforts made by KEDNY have only been in effect since the beginning of calendar year 2017, the associated benefits have not yet been fully realized. As stated in the 2018 Roadwork and Traffic Violations Report (2018 Report), KEDNY is committed to reducing the number of traffic violations and violations related to street opening permits and continues to review and analyze NOVs to identify root causes and review work practices, while implementing process and reporting enhancements to increase awareness and improve performance, and inform if additional training is required to reduce NOVs. KEDNY asserts that it has undertaken, and continues to undertake, significant efforts to reduce the number of violations for the benefit of customers and the public.

Q. Can the Panel provide examples of efforts KEDNY has undertaken in Calendar Year 2018, where the benefits would be realized in a later period?

A. Yes, in its 2018 Report, KEDNY provided several efforts it has recently undertaken. For example, first, in June 2018, the DOT required KEDNY to transition to a web-based platform for ordering, reissuing and renewing all permits by December 2018. For a short-term period, this transition negatively affected efforts to reduce overall summonses due to a shift in focus to the required transition work. Now that the transition has occurred, and with future enhancements to the web-based platform, KEDNY expects that it will allow it to more effectively manage its permits to DOT's expectations. Second, KEDNY has implemented a process improvement due to it receiving permission from DOT to explore automation opportunities with ordering, renewing and reissuing roadwork permits. Third, KEDNY expects to realize a reduction in "no permit" related summonses by utilizing the robotic process automation technology in a more widespread manner for permit reissues and renewals and new permit orders. Fourth, KEDNY is collaborating monthly with DOT and holding

process improvement meetings with its major contractors to discuss and resolve issues related to NOVs. Fifth, throughout calendar year 2018, KEDNY implemented several internal process improvements, such as having engineers in charge of designing and managing projects in the field making daily site visits, as well as external contractors and internal KEDNY inspectors ensuring plates are secure and placed according to DOT specifications. In addition, KEDNY has streamlined its summons response process by moving summonses through specific project managers and engineers, has added a designated supervisor to manage the corrective action request end-to-end process, and has improved its NOVs reporting to leadership which allows the leadership to take necessary actions to improve performance across internal functional teams. In addition, KEDNY indicates in its 2018 Report that summonses have significantly increased in the Historic Test Year, mostly due to the DOT enforcement of stipulations violations codes 078 and 016. These violation codes pertain to roadway and

sidewalk clearing at the end of each work day. KEDNY asserts these violations were only selectively enforced by DOT in prior years, but are now being enforced on every job site where a permit for roadwork exists. KEDNY is addressing the impact of the enforcement changes by engaging in discussions with DOT officials. Since KEDNY is aware of the changed enforcement issue with DOT violations, and has recently begun addressing the issue in calendar year 2018, the associated benefits of mitigating the increased summons will not be realized until a later period.

Q. What is the Panel's recommendation?

A. Given KEDNY's reporting of the significant efforts it has taken within calendar year 2018 to reduce these violations, we believe the amounts reflected in the Historic Test Year do not serve as a reasonable basis to forecast the Rate Year. Therefore, the amount of NOVs reflected in the Historic Test Year should be normalized, to fully reflect the annual benefits to be realized from KEDNY's identified efforts in reducing the number and associated costs of

NOVs. Further, as explained in response to IR DPS-929, KEDNY does not track specific NOVs that KEDNY attributes to factors outside of KEDNY's control. However, in our review of the response to IR DPS-768, we found several of the NOVs incurred resulted from circumstances within KEDNY's control. Some of these NOVs include failure: (1) to comply with terms and conditions of permit; (2) to install raise plow signs; (3) to ensure plates are pinned and ramped; (4) to provide adequate protection at work sites; (5) to post a flag person at worksite to give directions; (6) to display required signs at worksite; (7) to seal street opening joints; (8) to restore lane markings; and (9) to replace loose utility covers. For these reasons, we recommend using a conservative approach and are reducing the Historic Test Year level of expense charges incurred for the vendor New York City Finance Commissioner by 25 percent. This approach reasonably captures the anticipated savings associated with the efforts undertaken by KEDNY. It is reasonable to assume the benefits associated with these efforts will come

to fruition prior to the end of the Rate Year. Further, our adjustment also captures a portion of the NOVs that are within KEDNY's control, which should not be recovered from customers.

Q. Please quantify your adjustment.

A. To determine our Rate Year allowance for NOVs expense, we begin with Historic Test Year incurred expense amount of $3.541 million and remove 25 percent, or $0.885 million. We further increase our adjustment by the inflation rate used by KEDNY of 3.96 percent, to decrease KEDNY's Rate Year forecast of Other Expense by $0.920 million.

Q. For KEDLI, please explain your adjustment related to Other Expense.

A. We recommend reducing the level of charges incurred in the Historic Test Year, for costs associated with the vendor PSEG Long Island LLC.

Q. Please explain the adjustment.

A. In the response to IR DPS-833 and in details shown in Attachment 12, KEDLI indicated it paid $4.316 million in the Historic Test Year to PSEG Long Island LLC. Of the $4.316 million, $3.256 million was related to a settlement dated August

16, 2018 that KEDLI entered into with PSEG Long Island LLC to resolve outstanding invoices for electric service used by KEDLI for the period beginning January 1, 2014. KEDLI's response to IR DPS-833 Attachments 13 and 14 provide the details and quantification of the settlement. In reviewing KEDLI's accounting for the settlement amount, which was incurred in the Historic Test Year, we determined that KEDLI had reversed accruals in the Historic Test Year that had been recorded in prior years. The reversed accrual entries serve to partially offset the settlement booked to Other Expense. However, in following up with KEDLI on the detail provided in response to IR DPS-833, we determined that $1.109 million related to the settlement remains in the Historic Test Year. These are for out of period costs that KEDLI did not normalize and remove from the Historic Test Year amount that is being used as the base to forecast Rate Year Other Expense. Included in our workpapers is a spreadsheet provided by KEDLI that shows the calculation of the under accrued amount of $1.109 million that should be normalized out of

the Historic Test Year. Although not available at the time of filing of our direct testimony, it is our understanding KEDLI will be submitting a supplemental response to IR DPS-833 explaining that it was an error to not remove all amounts related to this settlement from the Historic Test Year. KEDLI should address the supplemental response in its rebuttal testimony, confirming whether it agrees with our recommended adjustment.

Q. Please quantify your adjustment.

A. We remove the remaining $1.109 million related to the PSEG Long Island LLC settlement from the Historic Test Year, increased by the inflation rate used by KEDLI of 3.96 percent. This decreases KEDLI's Rate Year forecast of Other Expense by $1.153 million.

**Trade Association Dues/Fees**

Q. Are KEDNY or KEDLI seeking rate recovery of membership dues for the American Gas Association, referenced as AGA?

A. Yes, however, consistent with PSL §114-a, the Companies excluded the portion of the membership

dues related to lobbying activities from its proposed revenue requirements. Based on the Companies' responses to IR DPS-951, including Attachments 1 and 35, and IR DPS-952, the non-lobbying portion of AGA membership dues that KEDNY and KEDLI incurred in the Historic Test Year, were $0.386 million and $0.166 million, respectively. In the Rate Year, the Companies have requested the Historic Test Year amounts plus an increase for inflation.

Q. How did the Companies determine what portion of the membership dues were related to lobbying?

A. A trade association, such as AGA, must report annually to the Internal Revenue Service (IRS), the total amount of lobbying expenditures in order to determine to portion of the dues that are not deductible. In addition, the associations must advise members of the portion of their dues that are not deductible because they are related to lobbying.

Q. Does the AGA invoice show what portion of the dues are related to lobbying activities?

A. Yes. Based on the Companies' response to IR DPS-951, Attachment 35, lobbying activities

represent approximately 3.1 percent of AGA's 2018 annual dues invoice.

Q. How does PSL 114-a define lobbying?

A. PSL 114-a defines legislative lobbying as "any attempt by any person on behalf of a public utility to influence the passage or defeat of any legislation by either house of the legislature or the congress, or the approval or disapproval of any legislation by the governor."

Q. Does the IRS have a similar definition of lobbying?

A. Yes. If anything, the IRS definition is more detailed and prescriptive. IRS Publication 535 – Business Expenses – states that "lobbying expenses include amounts paid or incurred for any of the following activities: influencing legislation; participating in or intervening in any political campaign for, or against, any candidate for public office; attempting to influence the general public, or segments of the public, about elections, legislative matters, or referendums; communicating directly with covered executive branch officials in any attempt to influence the official actions or positions of

those officials; researching, preparing, planning, or coordinating any of the preceding activities."

Q. Does the Panel have any reason to believe that AGA is not properly reporting its lobbying activities to the IRS or on its membership invoices?

A. No, we do not. Therefore, we recommend that the Companies be permitted to collect the portion of the membership dues not related to lobbying activities for AGA.

**Inflation Factor Update**

Q. What GDP inflation factor did the Companies use in its various rate year forecasts?

A. As discussed in the direct testimonies of the Companies' Revenue Requirements Panels and Exhibit__(RRP-8) for both KEDNY and KEDLI, the Companies used a GDP inflation factor of 4.87 percent.

Q. Did the Companies make any updates to this Rate Year GDP inflation factor?

A. Yes, in their Corrections and Updates Filing, as addressed in the Revenue Requirement Panel

testimonies, the Companies updated its projected GDP inflation rate to 3.96 percent based on more recent economic data.

Q. Do you recommend an adjustment to the inflation rate the Companies used?

A. No, not at this time. We have reviewed the Companies' computation and determine the computed inflation rate is reasonable and based on current information. However, we do recommend that, if the GDP inflation rate materially changes through the course of these proceedings, that the rate be updated as late as the Brief on Exceptions stage.

**Other Taxes**

Q. Do you have an adjustment to KEDNY's Rate Year forecast of Other Taxes?

A. Yes. We recommends decreasing KEDNY's forecast of Rate Year other taxes by $0.184 million.

Q. What comprises "Other Taxes"?

A. The other taxes primarily includes the Highway Use Tax, Hazardous Waste Tax, Sales & Use Tax, and Capital Tax.

Q. To which segment of Other Taxes does your

adjustment apply?

A. Our adjustment relates to KEDNY's forecast for Sales & Use Tax for the Rate Year.

Q. How did KEDNY forecast Sales & Use tax for the Rate Year?

A. KEDNY applied an inflation rate to the actual Historic Test Year amount to forecast the Rate Year amount.

Q. Do you agree that the Historic Test Year provides a reasonable basis for projecting the Rate Year?

A. No. KEDNY identified the Historic Test Year expense amount to include a sales tax reserve and interest accrual amount of $0.223 million. In the response to IR DPS-434, KEDNY explains the $0.223 million sales tax reserve was recorded to expense to establish a sales tax reserve for KEDNY's current sales/use tax audit for the period from June 2015 to August 2018. KEDNY further explains the interest reserve accrual for the same audit period was recorded separately and is not part of the Sales and Use tax account. KEDNY's reserve accrual charge partially relates to a time period not

represented by the Historic Test Year. In the response to IR DPS-767, Question 2, KEDNY indicated that $0.177 million of the $0.223 million reserve accrual charge is related to Calendar Years 2015 to Calendar Year 2017.

Q. What do you recommend?

A. We recommend decreasing the forecast of Rate Year Other Taxes by $0.184 million. This reflects removing the $0.177 million from the Historic Test Year, as well as removing the inflation, in the amount of $0.007 million, that KEDNY had applied to the Historic Test Year amount.

## Property Tax Expense

### Rate Year Forecast

Q. Please explain how KEDNY and KEDLI developed their Rate Year forecasts of property taxes.

A. KEDNY and KEDLI started with the Historic Test Year property tax expense of $151.432 million and 149.617 million, respectively, and then made a normalizing adjustment to reverse the effect of property tax deferrals that were recorded on KEDNY's and KEDLI's books. After normalizing

the Historic Test Year property tax expense, KEDNY and KEDLI performed the following adjustments in order: (a) Reflected changes in economic and functional obsolescence percentages; (b) Applied growth factors of 4.95 percent, for KEDNY, and 2.73 percent, for KEDLI, to property tax expense for the 15-month bridge period of January 2019 through March 2020; (c) Reflected additions to property tax expenses to reflect plant additions. When developing the Rate Year ending March 31, 2021, the Companies applied the same steps and growth rates to forecast their Rate Year property tax. Based on this methodology, in the direct testimony of the Shared Services Panel, KEDNY forecast Rate Year property tax expense of $172.547 million, and KEDLI forecast Rate Year property tax expense of $178.190 million. In the Corrections and Updates, filed on July 3, 2019, KEDNY decreased this amount to $168.094 million, and KEDLI increased this amount to $181.881 million.

**Staff Review**

Q. Please provide a brief description of the Companies' historical property tax expense.

A. KEDNY and KEDLI's historical property tax expense includes property taxes paid to New York City and paid to taxing authorities outside New York City, i.e., to counties, cities, towns, villages, and schools on Long Island. KEDNY pays taxes only to New York City, while KEDLI pays taxes to both New York City and taxing authorities on Long Island.

Q. How does New York City tax property?

A. New York City, taxes property in four tax categories or classes, Class 1 and 2 are forms of residential property, while Class 3 includes all special franchise real utility property, with the exception of land and buildings. Class 4 includes the utilities land and building property, as well as other non-utility entities' property.

Q. What is special franchise property?

A. Special franchise property comprises all pipes, cables, conduits, and other utility property located in or along the public right-of-way.

Q. How does New York City assess the special franchise property?

A. New York City relies on the New York State Office of Real Property Tax Services (ORPTS) to establish assessed values for utility special franchise property. KEDNY and KEDLI annually file plant inventory data with ORPTS.

Q. How did you assess KEDNY and KEDLI's historical New York City property tax expense?

A. We obtained and reviewed KEDNY and KEDLI's final determination letters from 2015-2019 regarding the assessed values for special franchise properties. For KEDNY and KEDLI, we selected a sample of Class 3 and Class 4 property. With that sample, we verified KEDNY and KEDLI's assessed values with the values included in the New York City Department of Finance property tax database, which is available online. After verifying the underlying assessed values, we also verified the property tax rates used to bill KEDNY and KEDLI. We then traced this selected sample to KEDNY and KEDLI's property tax software, books and records to ensure the amounts tied out.

Q. What steps did you perform in your audit of KEDLI's property taxes paid to non-New York City jurisdictions?

A. For KEDLI property taxes paid to non-New York City jurisdictions, Staff performed a similar verification process. We selected a sample of bills for which we compared the assessed values and tax rates that KEDLI was assessed and taxed to the actual property tax bill and ensured that it was recorded properly on KEDLI's property tax software, books and records.

**Economic and Functional Obsolescence**

Q. Please describe Economic Obsolescence (EO).

A. EO is the "loss of value of property caused by an impairment in desirability or useful life resulting from factors external to the property," as defined in Title 20 of the New York Code of Rules and Regulations, Part 8197-2.8(b).

Q. Please explain the EO process and how it affects property tax expense.

A. Utilities apply for an EO allowance by submitting a standard calculation to ORPTS. The

calculation compares a five-year average of actual return on rate base to the allowed return on rate base. ORPTS then reviews the calculations and makes a formal determination on the EO awarded to utilities. The EO allowance is applied as a percentage reduction to a utility's assessed special franchise property, which effectively reduces property tax expense.

Q. Please describe Functional Obsolescence (FO).

A. FO is "the impairment of operating capacity or efficiency resulting in a loss in value brought about by the failure of the tangible property to meet present or projected needs or where the capacity of the tangible property exceeds reasonable anticipated demands," as defined in Title 20 of the New York Code of Rules and Regulations, Part 8197-2.8(c). An FO allowance also applies a percentage that reduces assessable values for special franchise property, thus reducing property tax expense.

Q. Is there a standard for how FO is calculated?

A. No. There is no specific standard for how to calculate an FO allowance. The utility would have to make a filing to ORPTS to demonstrate

that a loss in value occurred.

Q. Did KEDNY and KEDLI present their Historic Test Year expenses net of EO and FO?

A. Yes. KEDNY and KEDLI reflected EO and FO percentage reductions embedded in the actual property tax expenses for the Historic Test Year.

Q. Do you agree with KEDNY and KEDLI's adjustments to reflect the changes in EO and FO allowances from the Historic Test Year through March 2021?

A. Yes. We verified the changes to the applicable ORPTS determination letters and concur with the Companies' presentation.

Q. In summary, do you agree with KEDNY and KEDLI's methodology to reflect the change in EO and FO as it related to the Rate Year forecast of property tax expense?

A. Yes.

**Growth Factor**

Q. What growth factors did KEDNY and KEDLI use to forecast Rate Year property tax expense?

A. KEDNY used a growth factor of 4.95 percent, and KEDLI used 2.95 percent. Both factors are based

on the change in property tax expense from Fiscal Years 2016 to 2018.

Q. Did KEDNY and KEDLI update the growth rates in the Corrections & Updates filing?

A. Yes. KEDNY updated its growth rate to 5.04 percent and KEDLI updated its growth rate to 3.78 percent. The Companies updated the change in property tax expense from Fiscal Years 2017 to 2019 for their two-year average calculation.

Q. Did the Companies state why they used a two-year growth rate?

A. Yes. In the Companies' response to IR DPS-293, the Companies stated two reasons for using a two-year growth rate: (a) the two-year growth rate is consistent with what was adopted in the Commission's 2016 Rate Order for KEDLI and KEDNY in Cases 16-G-0058 and 16-G-0059, and (b) a two-year growth rate was more moderate than the one-year or three-year average growth rates.

Q. Do you agree with the use of a two-year growth rate?

A. No. A two-year growth rate does not contain enough data points to show a trend. For the purpose of forecasting, a three-year average

growth rate is necessary to produce a trend appropriate for forecasting purposes. The Companies states that the two-year growth rate was adopted in the 2016 Rate Order. However, the 2016 Rate Order adopted a Joint Proposal, reflecting compromises specific to those cases. Therefore, even though a two-year growth rate is consistent with the 2016 Rate Order, it does not provide a strong argument for its continued usage.

Q. How do you recommend calculating the property tax growth rates for KEDNY and KEDLI?

A. We recommend using a three-year average of changes in property tax amounts between calendar years 2017, 2018, and 2019.

Q. Why did Staff use a calendar year basis instead of the Fiscal Year basis used by the Companies?

A. Using the calendar years, as opposed to Fiscal Years will ensure that the time period of January through March 2019 is not included twice in the Rate Year forecasting calculation.

Q. Why should the January through March 2019 period not be included in the growth rate calculation?

A. This period is already reflected in the

methodology used to calculate property tax expense from the Historic Test Year to the Rate Year and should not be included in calculating a rate in which to base the growth for this period on. By using a Fiscal Year basis, the Companies are essentially using data for those three months twice; first in the calculation of the growth rate, and again in forecasting Rate Year property tax expense.

Q. What growth factor do you recommend for KEDNY?

A. We recommend using a growth rate of 4.60 percent, which we developed using a three-year growth rate based on calendar year property tax expense provided in the Companies' filing and the response to IR DPS-255.

Q. What impact does using this growth rate have on the forecast of KEDNY's Rate Year property taxes?

A. Using the 4.60 percent growth rate results in a $1.274 million reduction to the Rate Year forecast of KEDNY's property tax expense. This amount is shown on Exhibit___(SAP-2).

Q. Do you recommend a similar adjustment to KEDLI?

A. Yes. We recommend using a three-year growth

rate on calendar year property tax expense provided in the Companies' filing and the response to IR DPS-254. This results in our recommended growth rate of 3.12 percent.

Q. What impact does using this growth rate have on the forecast of KEDLI's Rate Year property taxes?

A. Using the 3.12 percent growth rate results in a $2.326 million reduction to the Rate Year forecast of KEDLI's property tax expense. This amount is shown on Exhibit___(SAP-2).

**Property Tax on Plant Additions**

Q. Please explain KEDNY and KEDLI's methodology to forecast Rate Year property tax expense to reflect plant additions.

A. KEDNY and KEDLI utilized a three-year average, using calendar years 2014 through 2016, of plant additions, net of retirements and plant closings, as the base for measuring incremental plant additions. Due to the lag of when property is assessed by ORPTS and on the books, and since the Historic Test Year is calendar year 2018, KEDNY and KEDLI used 2014 through

2016 to reflect the three most current years embedded in the assessment rolls.

Q. Do you agree with the Companies' methodology to forecast additional property taxes on incremental plant additions?

A. Yes.

**Property Tax Reconciliation**

Q. Are KEDNY and KEDLI currently authorized to use a deferral reconciliation mechanism for property taxes?

A. Yes. Under the 2016 Rate Order, which adopted a Joint Proposal and implemented three-year rate plans, KEDNY and KEDLI currently defer 85% of the difference between their actual property and special franchise tax expenses and the amounts reflected in their respective rates.

Q. Did KEDNY and KEDLI request to continue the reconciliation currently allowed for property tax expense?

A. No. The Company instead proposed a full symmetrical reconciliation.

Q. Do you agree?

A. No. We are making recommendations for setting

rates for a single year, as compared to the three-year term of the rate plans adopted in the 2016 Rate Order. In addition, we anticipate both KEDNY and KEDLI will update property taxes if the changes are material for latest known bills through the Brief on Exception phase of this proceeding, which is close to the beginning of the Rate Year. These two factors reduce much of the risk associated with relying on the Rate Year forecast. As a result, there is no need to allow for a property tax reconciliation in a one-year rate case.

**Property Tax Mitigation Section**

Q. Please explain the adjustment KEDNY and KEDLI made to forecast the anticipated savings from the Property Tax Mitigation Accelerate Program initiative.

A. As part of National Grid's corporate Accelerate savings Program, the Companies worked with a consultant to conduct a review of potential areas, specifically commonly capitalized costs, to identify non-property taxable components, for property tax reductions across National Grid

USA's operating companies. KEDNY and KEDLI anticipate property tax savings of $2.5 million annually.

A. Where do the Companies reflect these expected property tax savings?

A. The Companies reflect these expected $2.5 million annual property tax savings in their property tax expense forecast for assessment reductions expected on the 2020 assessment roll. The Companies then allocated the savings to the Rate Year and Data Year 1 in the same manner as they allocate the impact of incremental plant additions.

Q. Do you have any issues with the Property Tax Mitigation Accelerate Program initiative and the amount of savings reflected?

A. No, we do not.

**Inactive Deferral Accounts**

Q. Explain how KEDNY and KEDLI propose to treat deferral account balances that have been inactive.

A. KEDNY, on page 112 of the direct testimony of the Revenue Requirements Panel, proposes to net

together several inactive deferral regulatory assets and liabilities to create a single deferral account with a credit balance of approximately $3.5 million. KEDLI, on page 109 of the direct Testimony of the Revenue Requirements Panel, proposes to net together several inactive deferral regulatory assets and liabilities to create a single deferral account with a credit balance of approximately $12.9 million.

Q. Why do KEDNY and KEDLI propose to net these deferrals?

A. KEDNY and KEDLI propose to net these deferrals in an effort to simplify the balance sheet and reduce the administrative burden on the Companies and Staff associated with tracking, reporting, and reviewing these inactive accounts.

Q. Do you have an issue with KEDNY and KEDLI’s proposal to combine the inactive deferrals to create a single deferral accounts with a credit balance of approximately $3.5 million and $12.9 million, respectively?

A. No, we have audited and agree with the deferral

balances of the items the Companies propose to combine and consolidate, and do not have an issue with this proposal.

**Federal and State Income Tax**

Q. Have you reviewed KEDLI's and KEDNY's Federal and State Income Tax expense forecasts for the Rate Year?

A. Yes. The Companies correctly made specific adjustments for items that are treated differently for book and income tax purposes. For example, the Companies appropriate reflected the 50 percent disallowance for meals expense and the flowing through of the equity allowance for accumulated funds used during construction (AFUDC) and book depreciation on equity AFUDC.

Q. Have the Companies reflected the finalized New York State income tax rate change in the Rate Year?

A. Yes. In 2014 New York State enacted a law reducing the income tax rate from 7.1 to 6.5 percent. The 2016 Rate Order issued in Cases 16-G-0058 and 16-G-0059 for KEDLI and KEDNY reflected estimates of the deferred tax impact

of the tax rate change and amortized the balance over a ten-year period. Due to the State tax rate change now being final, the Companies have adjusted the annual amortization to return the remainder over the balance of the ten-year period.

Q. What is the origin of the excess ADIT amortization tax item the Companies included in federal income tax expense?

A. On December 22, 2017, the Tax Cuts and Jobs Act was enacted, which, among other changes, lowered the Companies' federal income tax rate from 35 percent to 21 percent. On December 29, 2017 the Commission issued an "Order Instituting Proceeding" to determine the effects of the tax act on utility rates and to preserve the net benefits for customers. In December 2017, the Companies reduced the accumulated deferred income tax account to reflect the lower income tax rate of 21 percent, with an offset to an income tax regulatory liability account, which will benefit customers. The Companies' Rate Year reflects the amortization of the excess ADIT.

Q. How did the Companies determine the annual excess ADIT amortization in the Rate Year?

A. The Companies divided the excess ADIT into four categories, protected plant, unprotected plant, net operating loss and other non-plant excess. The protected plant excess ADIT reflects the temporary differences between book and tax depreciation methods and lives only.

Q. How do the Companies address excess ADIT in the protected plant category?

A. The Companies are required under IRS normalization regulations to return the protected excess ADIT utilizing the Average Rate Assumption Method (ARAM). Using the ARAM, KEDNY and KEDLI will return the protected excess ADIT over 44 and 47 years, respectively.

Q. How do the Companies address excess ADIT in the net operating loss category?

A. The excess ADIT on the net operating loss is considered to be protected because, under the IRS test, the depreciation differences were the cause of the net operating loss. The Companies have determined the protected plant amortization using the ARAM years and have amortized the same

amount for the excess ADIT of the net operating loss and the net effect of the two amortizations is zero.

Q. What do you mean by unprotected plant excess ADIT?

A. Unprotected plant excess ADIT is a result of the differences between book and tax basis in plant of non-depreciation items.

Q. How do the Companies address excess ADIT in the unprotected plant category?

A. KEDNY and KEDLI propose to return the unprotected plant excess ADIT over 44 and 47 years, respectively.

Q. How do the Companies address excess ADIT in the non-plant category?

A. The Companies analyzed the non-plant ADIT and assert that the most reasonable amortization periods for KEDNY and KEDLI are 44 years and 25 years, respectively.

Q. Have the Companies explained the reasons for using the ARAM lives for amortizing the unprotected plant excess ADIT?

A. Yes. In response to IR DPS-823, the Companies describe several reasons for their proposal.

One reason for amortizing over the ARAM is a matching principal. There is a timing difference and if a shorter life is used the customers would be receiving the benefits before the Companies receive the cash benefits. Second, the Companies state that shortening of the unprotected plant excess ADIT amortization lives will increase revenue reductions and lower cash flows, which will produce further downward pressure on credit ratings. Third, the Companies assert that Congress may again change the tax laws, which could produce an increase in the federal income tax rate and the return of the unprotected plant excess ADIT over the ARAM time period could prevent unstable rates.

Q. What do you recommend regarding excess ADIT for the unprotected plant and non-plant categories?

A. We recommend a 10-year amortization period. The use of a shorter amortization period of 10 years, rather than using ARAM lives, for unprotected plant and non-plant excess ADIT is allowed under IRS normalization rules. The return of the net excess ADIT over a shorter time period will more rapidly reduce the revenue

requirement and return the tax benefits to customers. The impact this may have on the credit metrics will be addressed by the Staff Financing Panel. The Companies allusion to future Congressional action is speculative and would lead to paralysis, as any future Congressional action would also be subject to yet further change. Therefore, it does not present a persuasive argument for using the ARAM lives for the unprotected plant and non-plant excess ADIT.

Q. What are the Rate Year impacts of using a 10-year amortization period for the KEDNY unprotected and other non-plant excess ADIT?

A. The KEDNY unprotected excess ADIT amortization of $3.8 million will increase to $16.5 million, an increase of $12.7 million. The KEDNY other non-plant excess ADIT of negative $0.6 million will decrease further to a negative $2.4 million, a change of $1.8 million. The net effect increases the amortization by $10.9 million. There is an associated net decrease to the KEDNY accumulated deferred taxes for the unprotected excess ADIT of $6.4 million and the

other non-plant excess ADIT of negative 0.9 million for a net total of $5.5 million, which increases rate base.

Q. What are the Rate Year impacts of using a 10-year amortization period for the KEDLI unprotected and other non-plant excess ADIT?

A. The KEDLI unprotected excess ADIT amortization of $2.3 million will increase to $10.7 million an increase of $8.4 million. The KEDLI other non-plant excess ADIT amortization of negative $2.0 million will decrease further to a negative $5.0 million, a change of $3.0 million. The net effect is to increase the amortization by $5.4 million. There is an associated net decrease to the KEDLI accumulated deferred taxes for the unprotected excess ADIT of $4.2 million and the other non-plant excess ADIT of negative $1.5 million for a net total of $2.7 million, which increases rate base.

Q. Have you adjusted both KEDNY and KEDLI plant additions in Fiscal Year 2020 and the Rate Year?

A. Yes. The decrease in plant additions reduces tax depreciation in Fiscal Year 2020 and the Rate Year, and the associated deferred Federal

and State income taxes.

Q. What are the impacts on the KEDNY and KEDLI accumulated deferred income taxes?

A. The KEDNY accumulated deferred Federal and State incomes taxes will decrease by $4.7 million and the $1.9 million, respectively. The KEDLI accumulated deferred income taxes will decrease the Federal and State incomes taxes by $1.9 million and $0.8 million, respectively.

Q. Does this conclude the Panel’s testimony at this time?

A. Yes.